

MOSELLE v SADEGI, et al

20CV44668

DEFENDANTS' MOTION FOR SUMMARY JUDGMENT

This civil action stems from a dispute over a cannabis business between Plaintiff Parker Moselle ("Plaintiff") and Defendant James Sadegi ("James"¹). On April 8, 2020, Plaintiff filed his Complaint against James Priscilla P. Agoncillo ("Agoncillo"), Sweet Corn Properties, LLC ("Sweet Corn", Barry Sadegi ("Barry") and Jeri Sadegi ("Jeri.") Plaintiff brings causes of action for 1) judicial supervision of the winding up of a partnership; 2) declaratory relief; 3) quiet title; 4) accounting and constructive trust; 5) specific performance and 6) partition of real property.

Now before the Court is a Motion for Summary Judgment filed by Defendants James, Agoncillo, Barry and Jeri.

I. Background

Given the plethora of disputed facts, and the somewhat confusing nature of the documents filed in this matter, the Court has crafted the essential alleged facts of this matter from various pleadings as best it can.

Plaintiff alleges that in or around 2012 he and James "entered an oral agreement to form a partnership to obtain real property in Calaveras County, California, to grow and market cannabis with desirable traits for marketing for medical purposes." ("Partnership"²) (Complaint ¶ 8.) Plaintiff alleges that James' parents, Barry and Jeri, agreed to provide a loan to purchase real property for the purpose of growing marijuana, with the proceeds of the cannabis business used to repay the loan. (*Id.* ¶ 9.) Plaintiff alleges that in 2013, the parties found 47 acres of real property which they dubbed "Chefland." (*Id.* ¶ 10.) According to Plaintiff, James' parents purchased Chefland for \$167,000 and titled it in the name of Sweet Corn Properties, LLC ("Sweet Corn") (*Id.* ¶ 11, citing Calaveras County Record of July 31, 2013, at 2013-10929.)

Plaintiff alleges that the Partnership took control of Chefland in 2013 and that Plaintiff sank over \$250,000 into the property for improvements and work related to the cannabis business. (*Id.* ¶ 12.)

Plaintiff alleges that the Partnership took ownership of another property dubbed "Starlight" in 2014. (Complaint ¶ 13.) James took title to Starlight in his own name but

¹ Given the common surnames of some of the parties, the Court uses first names. No disrespect is intended.

² The Court refers to the relationship as a "partnership" for ease of reference. The use of the term to describe the relationship is not to be construed as a judicial declaration that any sort of partnership existed.

Plaintiff alleges he made multiple payments to the Seller-Financer in excess of \$148,000.00. (*Id.* ¶ 14.)

In 2015, both Chefland and Starlight burned in the Butte Fire and were uninsured. (Complaint ¶ 16.) Plaintiff alleges that he has applied no less than \$1,153,981 of his own funds into the partnership, and partnership assets remain, but none are in the name of the partnership. (*Id.* ¶ 17.)

The parties agree that there was never a written partnership agreement. (PUMF 1, 2.) The parties dispute what the ultimate purpose of the Partnership was – whether to simply pay for the land (UMF 4) or to acquire raw land to develop into productive cannabis farms (PUMF 4.)

Apparently Plaintiff had at some point created a Guild Collective in order to facilitate access to medical cannabis to members/patients of other collectives. (PUMF 8.) Plaintiff would collaborate with other collectives to ensure that patients were legally prescribed cannabis in order to ensure compliance with all applicable laws. (*Ibid.*) Plaintiff would distribute medical cannabis to managers of other collectives but does not know what those managers did with that cannabis. (UMF 9.)

As part of this collective “sharing,” Plaintiff distributed hundreds of pounds of cannabis to “Gonzales” on consignment. Gonzales would sell the cannabis and send money back to Plaintiff. (PUMF 13.) Apparently the money was paid in cash and was approximately \$20,000 each time. (UMF 15.) Gonzales would also sell the cannabis to another organization called Eaze and the money would return to Plaintiff. (UMF 17.) Plaintiff also sold cannabis to someone called “Clemmons.” (UMF 18.) The parties agree that money was exchanged but Plaintiff disputes that he made any profit because the Partnership operated at a loss. (PUMF 20.) Plaintiff apparently made similar sales of cannabis to other individuals and the parties dispute whether there were any profits. (PUMF 22-69.)

The parties dispute who actually owned Sweet Corn. Defendant Sadegi asserts it belonged to his parents and Plaintiff asserts it was held by the Partnership in Trust for use by the business. (UMF 71.)

II. Legal Standard

Summary judgment is proper when there are no triable issues of material fact, and the moving party is entitled to a judgment as a matter of law. (Code Civ. Proc., § 437c(c).)

As the moving parties, Defendants have the initial burden to show Plaintiff’s claims have no merit by showing either (1) that one or more elements of each cause of action cannot be established or (2) there is a complete defense to the claims. (Code Civ. Proc., § 437c(p)(2); see also *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 849-850.) If Defendants meet that burden, then the burden shifts to Plaintiff to show that a triable issue of material fact exists as to the element or defense at issue. (*Ibid.*) In ruling on a

motion for summary judgment, the court must view the evidence in the light most favorable to the opposing party. (*Aguilar, supra*, 25 Cal.4th at p. 843.)

III. Discussion

Defendants' motion suffers from a lack of clarity as to whether Defendants seek summary judgment on all causes of action or whether they are pursuing summary adjudication on only some claims. Defendants do not address each cause of action brought by Plaintiff but rather focus their motion on their overall argument that there was no valid partnership agreement. Defendants make two arguments in support of this contention: 1) the Partnership was illegal and 2) any contract is barred by the Statute of Frauds.

A. Illegality of the Partnership

Defendants provide a lengthy recitation of California's cannabis laws and evolution from a medicinal cannabis state to a recreational one. Relevant to these proceedings, in 2012 when the Partnership formed, recreational marijuana was illegal. At that time, the only way to lawfully cultivate cannabis was either: 1) as a patient possessing a valid physician recommendation; 2) as the patient's designated primary caregiver; or 3) as a collective. (Former Health and Safety Code §11362.765; Ex. A to RJN.) It was not until 2018 when the state began issuing recreational licenses that cannabis could be cultivated, sold, transported or manufactured for non-medicinal purposes for profit. (See Cal. Bus. & Prof. Code § 26050.)

Defendants argue that the Partnership began cultivating cannabis in 2014 and between 2014 and 2017 Plaintiff traveled throughout the state distributing cannabis to other collectives or dispensaries. Defendants agree that at least some of the proceeds realized from the distribution of cannabis by Plaintiff went to pay for real property alleged to be owned by the Partnership. (Mtn. p. 11.) However, Defendants argue that Plaintiff could not have qualified as a caregiver or a collective between 2014 and 2017 and never obtained a recreational license. According to Defendants, this renders the Partnership illegal and void.

Plaintiff counters that when he began his cannabis collective he did so upon the counsel and advice of cannabis attorneys so that he could ensure that process was legal. (Declaration of Parker Moselle ("Moselle Decl.") ¶ 7.) He avers that he formed

collectives to ensure the legality of this medical cannabis business. The first was called California Growers Guild from 2014-2015 and the second was Guild Enterprises from 2016-2018. (*Id.* ¶ 8.) Plaintiff avers that the Guilds were “providing agreements to cooperate with the other collectives with which we dealt to comply by sharing patient bases.” (*Ibid.*) Plaintiff cites to *People v. London*, 228 Cal.App.4th 544 for the proposition that the medical cannabis laws clearly contemplated and authorized patients and caregivers to “pool their efforts and resources to cultivate marijuana for the qualified patient.” (*Id.* at 554.) According to *London*, the law allowed collectives to facilitate and coordinate transactions between members so long as the collectives were not “profiting” from the transactions.

The parties hotly dispute whether Plaintiff or the Partnership profited from Plaintiff’s sale/transfer of cannabis to other collectives or individuals. Accordingly, a genuine issue of material fact remains regarding whether the object of the Partnership was illegal conduct. Plaintiff presents evidence that the sales of cannabis from the Guilds did not produce a profit because he sank all the proceeds back into the cost of the real property or the business itself. (Moselle Decl. ¶¶4, 5.) There are also questions of fact about the “object” of the Partnership (whether it was to buy land or to buy land for the purpose of cultivating marijuana to be sold to others illegally.)

Even if the Court were to conclude that the Partnership was illegal, that is not the end of the inquiry. “The doctrine of illegality focuses on the object of the contract because it is grounded on considerations of public policy.” (*McIntosh v. Mills* (2004) 121 Cal.App.4th 333, 346.) However, courts are also cognizant of the fact that the “need to void contracts in violation of the law must be tempered by the countervailing public interest in preventing a contracting party from using the doctrine to create an unfair windfall.” (*Id.* at 347.) It is this second point that raises another issue of material fact and that is whether Defendants obtained a “windfall” through the allegedly illegal sales. Defendants admit that at least some of the proceeds were used to pay for real property alleged to be owned by the Partnership. (Mtn. p. 11.)

B. Statute of Frauds

The statute of frauds generally invalidates an oral contract where it cannot be completed within one year. (Civ. Code. § 1624(a)(1).) However, there are exceptions to this rule, such as where there is sufficient evidence that a contract has been made as established by electronic communication, including text. (*Id.* subd. (3).) Plaintiff has produced evidence of multiple text messages appearing to be between himself, James and James’ girlfriend/wife Agoncillo in which both James and Agoncillo seem to concede

the existence of a Partnership agreement. (See Moselle Decl. ¶13, Exhibit to Decl.) Plaintiff has therefore at the very least introduced a question of material fact as to whether there were written communications confirming the existence of the oral contract which would be an exception to the statute of frauds.

Another well-known exception to the statute of frauds is the doctrine of partial performance. (*Sutton v. Warner* (1993) 12 Cal.App.4th 415, 422.) Under partial performance, “ ‘the oral agreement for the transfer of an interest in real property is enforced when the buyer has taken possession of the property *and either* makes a full or partial payment of the purchase price, *or* makes valuable and substantial improvements on the property, in *reliance* on the oral agreement.’ ” (*Ibid.*, emphasis in original [citation omitted].) As set forth herein, the Plaintiff has alleged – and Defendant has agreed – that at least some of Plaintiff’s money went towards the purchase of the real property used by the Partnership. Plaintiff further avers that he spent six years improving the real property, including “grading roads and pads, putting in wells, electricity, greenhouses, fencing, and the biggest expense was for soil amendments.” (Moselle Decl. ¶ 4.) Accordingly, there are genuine issues of material fact regarding partial performance which would preclude the application of the statute of frauds.

III. Conclusion

Accordingly and for all the foregoing reasons, Defendants’ motion for summary judgment is **DENIED**.

The clerk shall provide notice of this ruling to the parties forthwith. Plaintiff to prepare a formal Order in compliance with Rule of Court 3.1312 in conformity with this Ruling.

ARIZA v LAKESIDE VENTURES, LLC, et al

22CV46059

**PLAINTIFF'S MOTION TO VACATE PRELIMINARY
INJUNCTION
AND ENTER NEW PROPERTY MANAGEMENT ORDER**

This matter involves a dispute over the sale of a mobile home estate located at 1475 Railroad Flat Road, Mokelumne Hill, CA ("Mobile Home Estate.") The factual and procedural history of this lengthy dispute has been set forth in detail in multiple rulings. The following is relevant to the instant motion.

On January 19, 2024, the Court granted a motion for preliminary injunction filed by Defendants Scott Nordyke ("Nordyke") and Arthur Trillo ("Trillo") as against Helen Ariza ("Plaintiff.") Pursuant to that ruling, the Plaintiff was ordered to refrain from representing that she was an owner in the Mobile Home Park, had authority to collect rents, to evict tenants, to make alterations to the Park, to incur debts related to the Park, or to solicit tenants to file complaints against the Park.

On April 4, 2025, the Court denied Plaintiff's first motion to vacate the preliminary injunction, finding that Plaintiff provided no facts or law that would authorize the Court to vacate the injunction based on her allegations.

Now before the Court is Plaintiff's second motion to vacate the preliminary injunction.

Pursuant to Code of Civil Procedure section 533, a court may "modify or dissolve an injunction or temporary restraining order upon a showing that there has been a material change in the facts upon which the injunction or temporary restraining order was granted . . . or that the ends of justice would be served by the modification or dissolution of the injunction or temporary restraining order." (CCP § 533.)

Plaintiff arguably makes three contention that could qualify as "changed circumstances" for purposes of vacating the preliminary injunction. First, her contention that at the time the Court issued the preliminary injunction it was unaware that Nordyke and Trillo were not real estate agents. (Mtn p. 6.) Plaintiff cites to California Business & Professional Code Section 10131 which sets forth the definition of a "real estate broker." Plaintiff takes specific issue with the Code's provision that defines a real estate broker as one who collects rents. (*Id.*, subd (b).) However, section 10131.01 specifically excludes the